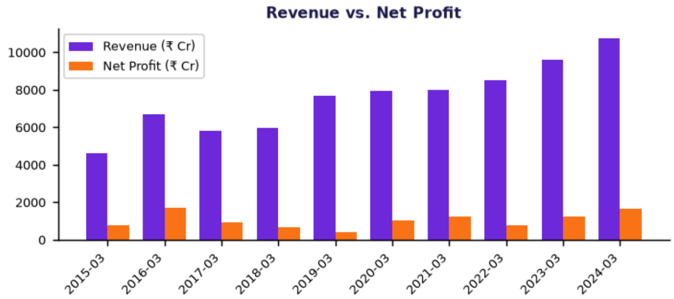
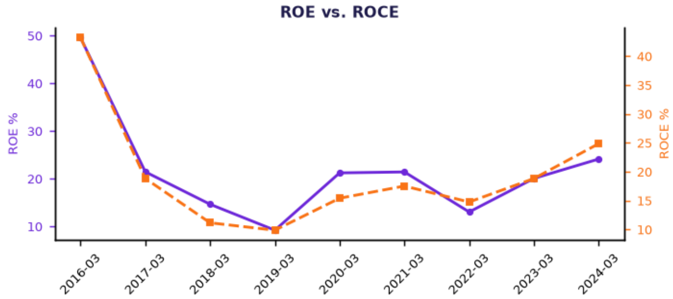
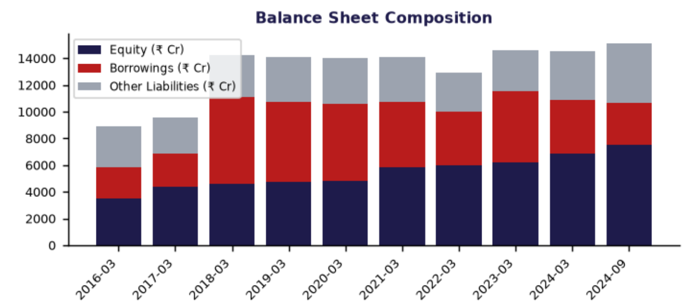
Torrent Pharmaceuticals Ltd

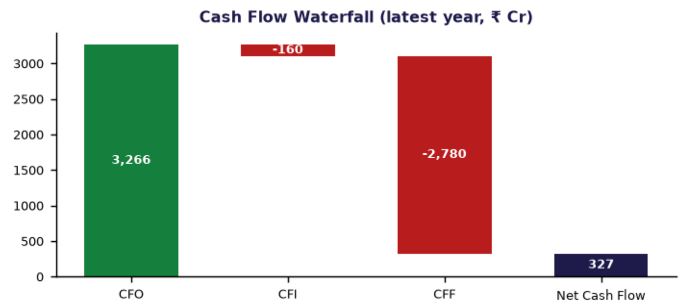
TORNTPHARM · Healthcare / Pharmaceuticals

ROE	ROCE	Net Profit Margin
24.15%	**24.88%**	**15.44%**
D/E	Revenue CAGR 5yr	FCF (Rs. Cr)
0.59	**6.93%**	**3,106**









Pros

✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (100% confidence)
✓ Return on equity improving for 3 consecutive years shows strengthening business quality (100% confidence)
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (100% confidence)
✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (95% confidence)
✓ Net profit compounding at above 20% over 5 years creates significant shareholder value (81% confidence)

Cons

✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (86% confidence)

Capital Allocation Pattern: **Shareholder Returns**